

EXECUTIVE SUMMARY

This thesis empirically investigates how Supply Chain Finance (SCF) - particularly India's TReDS platform - can bridge the Rs.31 lakh crore MSME credit gap. Using a mixed-methods design, it triangulates three evidence streams: (i) five-year CCC analysis of 50 BSE/NSE-listed firms across 5 sectors (FY21-FY25), (ii) a primary survey of 44 MSME respondents, and (iii) desk research on 3 TReDS platforms and 6 banks.

Central paradox: India's TReDS infrastructure is world-class - Rs.1.9 lakh crore processed by FY25, default rate below 0.3% - yet fewer than 1% of 4.68 crore registered MSMEs actively participate. The problem is information failure, not product failure.

RESEARCH FRAMEWORK

Obj 1	CCC benchmarking - 50 firms across FMCG, Auto, Energy, Metals, Pharma (FY21-25)
Obj 2	Top-5 vs Bottom-5 working capital gap & sector-wise SCF opportunity mapping
Obj 3	Primary MSME survey - SCF awareness, adoption barriers, TReDS intent (n=44)
Obj 4	Bank promotion effectiveness vs actual MSME grassroots awareness outcomes

CASH CONVERSION CYCLE BY SECTOR (DAYS)

Sector	FY21	FY22	FY23	FY24	FY25
FMCG	74.4	62.1	60.7	64.9	71.5
Automotive	8.3	5.4	9.7	5.8	1.3
Energy	16.6	10.4	11.5	15.5	18.0
Metals	106.0	77.4	77.5	93.3	107.6
Pharma	218.8	228.9	222.1	211.6	215.6

! Pharma avg CCC of 215.6 days = nearly 7 months of cash locked in operations.

TOP-5 VS BOTTOM-5 WORKING CAPITAL GAP (FY2025)

Sector	Top-5	Bot-5	Gap	SCF Priority
FMCG	27.8	115.2	87.4	Medium
Automotive	-26.5	115.2	141.7	HIGH
Energy	17.1	19.0	1.9	Low
Metals	80.6	134.6	54.0	High
Pharma	205.3	225.8	20.5	CRITICAL

AUTOMOTIVE PARADOX

OEM CCC: -26.5 days <-- 141-day gap --> Supplier CCC: +115.2 days
OEMs (Tata, Maruti, M&M) are ideal TReDS anchor buyers; their MSME suppliers remain unaware.

KEY FINDINGS - MSME PRIMARY SURVEY (N=44)

65.9%	of MSMEs - bank NEVER informed them about SCF or TReDS
47.7%	were completely unaware or had only a vague idea of SCF
13.6%	are active TReDS users; 77.2% not even registered
68.2%	willing to adopt if properly explained (mean intent: 3.61/5.0)
45.5%	"Lack of awareness" cited as the primary adoption barrier
31.8%	"Complex documentation" cited as the second biggest barrier
9.1%	first heard of TReDS from their bank (vs 22.7% from peers)
2.3%	currently use invoice discounting - rest use OD or informal loans

TREDS PLATFORM ECOSYSTEM (FY2025)

Parameter	RXIL	M1xchange	Invoicemart
Promoters	SIDBI+NSE	Mynd/HDFC	Axis+MJunction
MSMEs Reg.	40,000+	70,000+	44,300+
Cum. Volume	Rs.1L Cr+	Rs.1L Cr/yr	Rs.1.8L Cr+
Financiers	60+	70+	71
Default Rate	<0.3%	<0.3%	<0.3%
Fund TAT	24 hrs	24-48 hrs	24-48 hrs

TReDS VOLUME GROWTH: Rs.7,000 Cr (FY20) -> Rs.35,000 Cr (FY22) -> Rs.1,38,000 Cr (FY24) -> Rs.1,90,000+ Cr (FY25)

BANK PROMOTION GAP - PSU VS PRIVATE

Dimension	PSU Banks	Private Banks
Survey respondents	52.3%	47.7%
Informed MSME	~9.1%	~18.2%
Never mentioned SCF	~65-70%	~50-55%
Platform role	Financier (RXIL)	Co-founder (Axis)
Key initiative	SBI Rs.74K Cr SME	HDFC USD 3.4M

POLICY RECOMMENDATIONS

RBI	Mandate quarterly bank reporting on MSME TReDS awareness at branch level
Min. MSME	Launch sector-specific awareness campaigns in Pharma, Metals & Auto clusters
MCA	Enforce invoice-volume compliance, not just nominal registration by buyers
PSU Banks	Integrate TReDS into every MSME loan renewal & CC review; set branch targets
Auto OEMs	Mandate TReDS enrollment for MSME vendor qualification (Tata, Maruti, M&M)
Platforms	Develop vernacular-language & WhatsApp chatbot onboarding for tier-2/3 MSMEs

Conclusion: India's TReDS infrastructure is mature - 27x volume growth in 5 years, default rate below 0.3% - yet adoption remains under 1% of eligible MSMEs. The barrier is not resistance: 68.2% of surveyed MSMEs expressed willingness to adopt SCF if properly explained (mean 3.61/5.0). The gap is a supply-side outreach failure. Targeted interventions by RBI, banks, and industry bodies in high-CCC sectors (Pharma: 215 days, Metals: 107 days, Auto suppliers: 115 days) can convert India's latent SCF demand into active financial inclusion.

Turnitin: 5% Similarity
Mixed Methods | 50 Listed Firms | 44 MSME
Respondents | 3 TReDS Platforms | 6 Banks
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or financial advice.*